

Rule Book to be followed in Finance Team Across the CMR Group

S. No.	Effective Date	Rule Description	Responsibility	Points
1		Defination of Responsible Team	Entire Accounts Team	Responsibility to follow rules prescribed in this rule book are broadly categorised in 3 teams i.e. Purchase Accounts Team, Sale Accounts Team and General Accounts Team. Purchase and sale accounts team are self explanatory and all rest of the activites are categorised in General Accounts team. General Accounts team includes Cashier, Bank Payments, Manpower accounting and accounting of all income / expenditure other than sale and purchasae.
2		Periodic Review of Rule Book	Entire Accounts Team	It is responsibility of each new joinee finance team member to go through this rule book during induction period and be aware of these rules. It is also responsibility of each existing team members to go through this rule book on regular time interval particularly at the time of change in job profile. For all rules covered in this rule book, no excuse (saying he or she was not aware about these rules as no one informed about it) is acceptable.
2	21/05/2016	Weighment Slips to be enclosed with vouchers	Purchase Accounts Team	Weighment slips of all type of raw materials, fuels, HSD, and other items purchases and sale invoices are to be strictly enclosed with purchase bills / MRN/ SRN and sale bills etc. Weighment slips attached along with the bills submitted to accounts department.
3	21/05/2016	Capitalisation of expenses exceeding Rs. 10,000/- only	Purchase Accounts Team	No capital item below Rs. 10,000/- is to be capitalized in books of accounts
4	21/05/2016	PO must contain Capital Indent Justification Form Number	Purchase Accounts Team	Capital Indent Justification forms are being maintained at Store and PO are being sent to Accounts containing reference No. of CIJF.
5	21/05/2016	Prior Approval of CEO for capitalisation of expense confirming expense is of capital nature	Purchase Accounts Team	Any item issued from stores for capital expenditure will be capitalized and booked in WIP only if Special approval by CEO confirming the capital expenditure is attached. In absence of special approval the expense will be considered as repair & maintenance expense.
6	21/05/2016	Manpower supply contracts to be inclusive of ESI and PF liability.	General Accounts Team	In all manpower supply contracts, ESI & PF Liability will be borne by Contractors. (i.e. Value of contracts is inclusive of ESI & PF. Now, either the same will be paid by contractor itself or CMR will pay on behalf of contractors and recover the same from contractor's bill.)
7	21/05/2016	Purchasae orders to be valid for maximum one year only and no bill to be passed on invalid Pos.	Entire Accounts Team	Accounts departments to discontinue passing transactions based on Expired PO for transactions taking place on or after 06.05.2017.
8	05/01/2017	Monthly interest debit notes generated from ERP to all customers	Sales Accounts Team	At the end of every month, interest debit note to customers should be entered automatically from ERP.
9	05/01/2017	Ensuring value loading claim recoverable entry for each Bill of Entry on monthly basis	Purchase Accounts Team	It was decided by the chair that all the value loading claims filed with custom department regarding the difference between BOE and Invoice rate are to be cross checked by import purchase accounts team at the time of passing value loading calim entry. If any bill of entry is skipped in calim statement received from material department or mistake in computation is find the same to be get rectified.
10	05/02/2017	Any financial loss to company due to wrong accounting i.e. non deduction of TDS, TCS, non avaiement of input credit, wrong payments etc to be born by concerned accountant and senior finalising the voucher	Entire Accounts Team	Any financial loss to company due to wrong accounting i.e. non deduction of TDS, TCS, non avaiement of input credit, wrong payments etc to be born by concerned accountant and senior finalising the voucher.

11	05/02/2017	Monthly Confirmation of Cash Imprest from Unit Person.	General Accounts Team	Cash imprest from unit persons to be booked in timely manner and monthly balances to be reconciled and balance confirmation to be obtained from unit person having imprest.
12	05/03/2017	Accurate and timely accounting of provisions in monthly PL	Entire Accounts Team	Where any entries are pending in the reconciliation which shall have an impact over the profitability of the unit, the provision of the same shall be accounted for latest by 2nd of subsequent month by concerned accountant for monthly closing
13	05/03/2017	Periodic Reconciliations to be completed in scheduled time	Entire Accounts Team	Periodic Reconciliations of GST, TDS, FDR, FDR interest, Buyers Credit, Bill Discounting, Bank Reco, Interunit Reco, Employee benefit payables, Customers ledgers, suppliers ledgers etc to be done as per schedule by concerned person. Reconciliation matrix is given in Schedule 1.
14	05/03/2017	Half Yearly Review of Access Rights in ERP	GM - Finance	Initially, all the access rights granted to concerned person shall be reviewed by GM-Finance. Afterwards, all the access rights of ERP provided to concerned person shall be reviewed by Internal Auditors on half yearly basis. Further, it may be noted that in case of transfer of department of any employee, GM-Finance shall ensure that all the previous access right has been closed and new access rights have been issued to concerned employee.
15	05/03/2017	No Back Date Entry	Entire Accounts Team	It is decided by the chair that only at the time of monthly closing, back date entries shall be allowed only upto the 07th of Next Month for passing entry on last date of previous month (Not any other back date) for monthly closing. In exceptional cases, it shall be allowed with the approval of MD only.
16	4-Oct-17	Shortage Debit Note	Purchase Accounts Team	<u>Guidelines for handling shortage in material / stores items :-</u> a. In Case of shortage of more than 0.5% in Import transactions, shortage claim will be maintained by material department in BI and the same will be account for in the books on actual receipt basis. b. In case on inter-unit transfers having shortage more than 0.2%, shortage will be debited to transporters. c. In case of delivery of material is taken by company on Ex Work basis and shortage exceeds 0.2%, shortage will be debited to transporter. The list of these parties will be provided by the local purchase team and will be approved by MD. d. In all others domestic procurement having shortage more than 0.2% will be debited to suppliers at the time of passing of bills. e. Debit note will be raised with total difference between Actual quantity and bill quantity if shortage exceeds 0.5% or 0.2% as the case may be. If any amount is not recoverable the reversal of debit note will be on MD approval. f. Clauses of seal ok is done away, material being delivered in containers rather than open body vehicles, etc.. The policy will be simple that any shortage found exceeding CMR thresholds will be debited either to the supplier or to the transporter. Any reversal would require MD approval.
17	5-Jul-17	Actual Qty. and invoice Qty. to be recorded for each raw material receipt	GST team at respective unit	Person responsible for confirming GRN to record actual quantity receipt and invoice quantity in ERP
18	5-Jul-17	Monthly statement of advances to import suppliers and shipping lines	Purchase Accounts Team	Person responsible for import accounting to give monthly statement of advance to import suppliers and shipping line to Material Department at Corporate
19	20-Nov-17	Process Flow for Import Accounting	Entire Accounts Team	General Accounts team responsible for import payments and Import Purchase accounts team to follow the Process Flow for Import Accounting given in in PPT file
20	5-Aug-17	Reimbursement payments to be released on submission of supporting documents	General Accounts Team	It has been decided in meeting that no reimbursement will be paid without any supporting from November'17 onwards
21	5-Sep-17	Bank Payments within authorised limits only	General Accounts Team	All bank payments should be done as per authorization policy and no deviation shall be allowed in this policy as explained in Schedule 4.

22	5-Oct-17	No purchase order with price inclusive of Tax	Entire Accounts Team	All Purchase Order should be prepared on the ' Basic Value ' in ERP and no deviation will be allowed in any case.
23	8-Aug-17	Fund transfer between CMR / CMRN / CMRT within trade transaction liability	General Accounts Team	Transfer of funds between group companies are to be controlled to remain within the limits of amount payable or receivable against trade transactions. Unit Finance Head CMRN, CMRT and Parveen ji at Corporate to ensure the same.
24	11-Nov-17	No Conversion of customers to suppliers for releasing payment to customers	Sales Accounts Team	If any excess payment received is to be refunded to customer, receipt entry to be passed in customer ledger itself with amount in (-) to give impact of payment through receipt voucher. Payment can be released through CMP by manual entry in transaction file for uploading on CMP portal. Status of no customer is to be converted to supplier for release of payment as it may result in non adjustment of debit balance in supplier account with credit balance in customer ledger and excess payment.
25	1-Dec-17	Reverse Charge of GST	Entire Accounts Team	1. No Reverse Charge on Exempt Supplies 2. In case of supply of services specified in reverse charge i.e. GTA, Advocates, Arbitral tribunal, sponsorship, certain services by Government, Director of a company from registered dealers tax invoice will be received duly mentioning "Tax Payable on RCM" 3. Reverse charge on GTA services not applicable if GTA is charging GST in their bills 4. Above mentioned RCM transactions to be reported in GSTRN 2 by 15th of subsequent month and RCM to be deposited by 20th of subsequent month 5. Input credit can be availed for all above mentioned RCM except supplies in negative list circulated in separate mail and reproduced again for your ready reference
26	1-Dec-17	Negative List for GST Credit	Entire Accounts Team	<u>Negative list for GST Input Credit</u> 1. Input credit on Purchase of Motor Vehicle or any other conveyance is not allowed. However if motor vehicle is purchased for transportation of goods, input credit will be allowed. 2. Input credit on Food & Beverages, Outdoor Catering not allowed 3. Input credit on Membership of a Club, health and fitness center not allowed 4. Input credit on Rent a Cab, Life Insurance and Health Insurance not allowed 5. Travel Benefits extended to employees on vacation such as leave or home travel concession 6. Works Contract service supplied for construction of immovable property other than plant & machinery. Input credit will be disallowed even in case of repair/ renovation / alteration if such cost is capitalised. Means input credit will be allowed if construction / renovation / repair cost is booked in expense 7. Goods and services received for construction of immovable property other than plant & machinery. Input credit will be disallowed even in case of repair/ renovation / alteration if such cost is capitalised. Means input credit will be allowed if construction / renovation / repair cost is booked in expense 8. Input credit if paid under composition scheme 9. Goods lost, stolen, destroyed or distributed, written off or disposed of by way of free samples 10. Tax deposited against demand
27	7-Apr-17	Import Claim Realisation Details	General Accounts Team	On receipt of inward remittance notice from bank, details w.r.t. inward remittance is to be submitted to bank. Process to be followed for getting the required information from import department is in Schedule 4.
28	11-Aug-16	Transfer to unclaimed balance and release of payments out of it	Entire Accounts Team	Credit balance not claimed for 6 months to be transferred to unclaimed balance. If payment is asked by party after transfer to unclaimed balance the process to be followed as mentioned in Schedule 5.
29	7-Aug-16	Blockage of same name ledgers or un required ledger	Entire Accounts Team	If you notice two ledgers of same party having same address or any ledger which is not required, transfer the balance of that ledger to the correct ledger to which transactions in it belongs, make closing balance of unrequired ledger zero and forward the request for blocking the unrequired ledger to ERP team with copy to me for approval. Reason for need for blockage of ledger should be mentioned in your request mail for blockage of mail.
30	22-Apr-16	Reimbursement for use of CAR / Bike on per KM basis	General Accounts Team	Reimbursement rate of Bike and CAR are to be passed as per schedule 6. Various slabs of Petrol and Diesel prices are given. Accountant responsible for passing reimbursement bills need to pass bills at reimbursement rate based on petrol / diesel prices at end of previous month. No need of any declaration from Virender every month. Accordingly reimbursement rate are to be reviewed every month by accountant responsible for passing reimbursement bills and his section head. Unit Finance heads / concerned Section heads in accounts to ensure compliance while authorizing reimbursement vouchers.

31	14-Dec-16	SOP for handling Insurance Claims	Entire Accounts Team	SOP for insurance claims to be followed by person responsible for handling insurance claims at Corporate, Units, CMRN and CMRT as per Schedule 7.
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